Tentative Course Outline

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OBJECTIVE

This is an advanced course in corporate finance with a focus on capital raising by firms at different stages of their life cycles. We will take the perspectives of the corporation raising capital, the investors who invest in the instruments, and the intermediaries such as banks or investment bankers that help raise capital. The settings will include a spectrum of firms ranging from near-startup stage to mid-life firms and older, mature firms.

Our focus is on the economics of financing deals – why they make sense for all parties involved – and on the practical execution of deals. The theoretical frameworks that help think through deals include the familiar MM irrelevance, no arbitrage, tax considerations, informational asymmetry, agency problems, and risk management. These theories apply but the focus is not on the theories but practice. We want to understand financing problems and assess solutions.

LEARNING GOALS

There are four learning objectives:

i. Critical and integrative thinking
ii. Effective oral and written communication
iii. Interpersonal awareness and working in teams
iv. Use of AI in understanding corporate finance problems and their solutions

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COURSE CONDUCT

Attendance is required and consequences of absences are as per institution policy. But more important is *why* you should attend. Being absent from class for extended periods of time is not conducive to learning – and as importantly, to that of the rest of the class. Moreover, we focus on active learning. This means that class preparation and participation are important.

It is helpful to briefly review cases before coming to class. Identify the key issues and be prepared to open discussions. In class, the ability to listen to discussions is important for assimilation. Students should treat all stakeholders inside and outside the classroom with respect.

PRE-REQUISITES

- Familiarity with the concepts learned in the core finance class.
- Facility with basic algebra and calculus. Familiarity with EXCEL
- Openness to learning new concepts.

RECOMMENDED TEXTBOOK AND READINGS

Jonathan Berk and Peter DeMarzo, ***Corporate Finance***, Global edition, 3rd/5th edition,
Pearson (henceforth referred to as BD). This is the textbook used in the finance core. This is not really necessary but is a helpful adjunct aid for learning. In addition, there are several cases in the course that are listed below. The cases, readings, and additional material such as notes will be available on the course learning management system.

GRADING COMPONENTS

Class participation is important. In general, feel free to ask questions. If something has been covered or is not appropriate for the full class, I will offline it or recommend other prep.

Submit 5 Short Writeups If you submit more than five, we will take the best 5 out of the 10.

Your writeups are improvements, better learning opportunities, and simplifications over case write ups. They will cover exercises of two types. One is to assess ex-post outcomes and long-term lessons for practicing managers today of the case studies. A second kind will be to map what we learn to and what can be learnt from corporate finance in India. The exact nature of the assignments will vary. The exercises are described at the end of this outline. All work should be independent, and clear references should be provided for any sourced material including what is done with AI.

> *Format* **Submit ONE pdf file** that includes text, exhibits, and anything else you deem necessary for submission. Multiple files and formats other than this will not be graded.
>
> *Length* The write-ups should include a title page giving the title of the case and the names of the group members. The rest of the writeup should be **less than two pages long** with

reasonable font (11 point min) and at least 1.25 line spacing. The length limits discipline what you can write. Keep it short and concise.

Exhibits You can include exhibits as needed but Exhibits should be well organized, labeled, and presented properly, with each exhibit designed to fit within a page. **Do not include exhibits not referenced in the text of the write up.** There is no need to cut-paste materials from cases unless you have added value to them. Any Exhibit should have enough detail, so the reader sees what is done and how. EXCEL sheets are OK **provided** they are converted into pdf, attached to the main document, and the organization is streamlined so the reader can see what is happening and why.

Writing Style This is not a .pptx submission so write in cogent sentences with a reasonable paragraph structure, avoiding bulleted or numbered lists as far as possible. Most decisions will have several pros and cons. It is **not** appropriate to list them all. Pick the important ones, prioritize them, and discuss. The ability to identify the most important elements is a significant skill. Long laundry lists or "core dumps" indicate the inability to focus on important issues and will attract lower grades than one that strips chaff. Important items should get space and the other things that are unimportant should be gone or made concise.

Overall formatting A useful guideline is to imagine that the submission is a report to a CEO or a key decision-maker.

Use of AI resources Full disclosure is the principle and rule. Say what you used AI for, write out in an Appendix all prompts used and the responses, and make what you changed clear. Using AI is not an issue; non-disclosure is a serious issue. Please note that a failure to cite any sources is regarded as plagiarism and can attract severe penalties.

Final Exam There will be a final exam. You may consult the course packet but nothing else. Using EXCEL or a basic calculator for computations is fine. No AI is allowed.

Grading Component	Weightage	Submission
Class participation	10	Individual
In-class quizzes	10	Individual
AI exercises (best 5 of 10)	30	Group
Final Exam	50	Individual

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Topics	Themes	Case	Readings
1	Financing Life Cycle of Firms Pre-IPO Funding of Firms. VC. Platform Financing. P2P Loans India VC, growth-equity market Angel funds and platform rules	OurCrowd	Class Notes BD Ch. 14-16 Read: Ch. 23-24
2	IPO Markets: Data Role of I-Banks, Analysts Dual-Class Shares The Indian IPO Market: book building, allocation, anchors, lock-ins, SME platform	Snap's IPO (A) (B)	Class Notes Underpricing Reviews (link1) (link2)
3	Alt-IPOs Direct Listing, Auction, SPAC IPO Valuation and Disclosures India: Little disintermediation The GIFT City Experiment	Spotify's Direct Listing SpaceX S-1 and an Indian DRHP	The Incentives of SPAC Sponsors, JFE 2026 (see reading list)
4	Traditional Bank Lending Small Business Financing MSME Financing in India: loan guarantee, loan refinance, and data initiatives	US Bank of Washington	Note on ratio analysis
5	Syndicated Loans Loan Sales CLOs and Structured Debt Indian environment: External ratings of bank loans; Microfinance securitization	Blackstone: Sale of Citigroup's Loans York Capital	Kundu, 2023 (link3)

6	Financing Over the Life Cycle Leasing, Preferred Stock, Convertibles, Public Debt. Indian instruments: CCDs, CCPS	MCI Communications Corp 1983	Financing and Strategy (link4)
7	Complex Instruments Risk Management: Hedging versus hidden bets India: RBI hedging norms; Sovereign Gold Bonds	American Barrick Resources Corp	BD, Ch 14
8	Venture Debt Private Credit Bank and Fund Runs India: Yes Bank; private credit through AIFs and NBFCs	Silicon Valley Bank: Gone in 36 hours Yes Bank	Private Credit Note
9	Private Equity, Buyouts LPs, GPs, fees, waterfalls PE in India: growth equity, non-controlling stakes Control buyouts	Irongate: term sheet, LP agreement and valuation	Buyouts Primer
10	International Finance Borrowing abroad: FX debt and swaps India: ECBs and masala bonds Project Finance (note) Closing: course takeaways	Harley-Davidson: Reverse Yankee Bond	Note on project finance

Additional Reading List

link1 link2 IPO Statistics

Equilibrium in the Initial Public Offering Market, 2011, *Annual Review of Financial Economics* 3, 347-374.

link3: The Anatomy of Corporate Securitizations and Contract Design. Kundu, Shohini, 2023. *Journal of Corporate Finance* forthcoming.

link4: Strategic Financial Management: Lessons from Seasoned Equity Offerings, 2021, Fu, Fangjian and Clifford Smith, *Journal of Applied Corporate Finance* 33(1), 22-35.

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The Incentives of SPAC Sponsors (*Journal of Financial Economics* 177, March 2026 104220). See the link for related references. An ssrn free download version is here (link)

Case List

1. OurCrowd: Growing a Crowdfunding Platform in a VC World (KEL 922)
2. Snap IPO (A) (B) (HBS 9-218-006, 9-218-052)
3. Spotify's Direct Listing IPO (Ivey W18228)
4. US Bank of Washington (HBS 9-292-057)
5. Blackstone and the Sale of Citigroup's Loan Portfolio (HBS 9-214-037)
6. York Capital (HBS 9-223-034)
7. MCI Communications Corp 1983 (HBS 9-284-057)
8. American Barrick Resources Corp (HBS 9-293-128)
9. Silicon Valley Bank: Gone in 36 hours (HBS 9-124-001)
10. Irongate: Term Sheet, LP Agreement and Valuation (instructor materials)
11. Harley-Davidson: Reverse Yankee Bond (Darden Case UV8728-PDF-ENG)

Case Questions

These are intended as guidelines for prep and class discussion, not as a basis for writing up the cases. That is, do NOT submit a write-up as a Q&A response for these questions.

Our Crowd

1. How easy or difficult is it to start a new crowdfunding platform?
2. What strategies should the platform adopt to attract users? Who should it charge?
3. Should the platform offer opportunities such as "Reserve" for diversification?
4. How should the platform interact with VCs? Should it seek some VCs as investors?
5. Finally, should companies go to platforms to seek funding?

Snap (A) (B)

1. Evaluate Snap's business model and financial needs.
2. Should Snap go public at this time? Why or why not?
3. Value Snap assuming WACC is about 10% and the forecasts given to you in the supplement.
4. What underpricing do you recommend for Snap? Compare it to the market estimates.
5. Snap sold shares with no votes at all. Who bears the cost of this, and who benefits? Was the lack of voting priced? What do you think of index providers who didn't like Snap's structure?
6. Indian listing rules permit differential voting rights only under tight conditions. Compare the two regimes and discuss which is closer to the interests of a long-term investor.

Spotify

1. Discuss the economics of the music streaming industry and Spotify's advantages or disadvantages in it.

2. Evaluate Spotify's past performance and discuss its financial needs.
3. What are the imperatives that push Spotify toward an IPO? Discuss the case for a direct listing versus an underwritten IPO
4. Given the data you have, value Spotify and discuss what price it should trade at.
5. Assess and explain Spotify's performance since its IPO. Was there a bubble? Is there one?

SPACs (no case, use class notes)

1. Trace the flow of money in a SPAC from the sponsor's founder shares to the merger. Who pays for the sponsor's promote?
2. Why would a private company choose a SPAC merger over an underwritten IPO or a direct listing? Which frictions from the course does each route address?
3. India has no domestic SPAC framework. Should it have one? What would have to change in the listing rules?

US Bank of Washington

1. Evaluate Redhook's historical business and financial performance.
2. What are the business risks in Redhook's proposed new venture? How could it mitigate them?
3. Evaluate Redhook's financial projections. What key risks do they identify?
4. Should USBW make the loan to Redhook? If so, what covenants should it specify?
5. How might 21st century FinTech alter bank lending? What about AI?
6. Converse question: we are used to banks evaluating borrowers. Should *borrowers* evaluate banks? How? Why?

Blackstone

1. Why is Citi looking to sell its loan?
2. Does this transaction make sense for Blackstone? Why?
3. Using the data on default and recovery rates, do a DCF valuation of the deal. The portfolio beta is 0.20 and the investment horizon is 5 years.
4. This one is a little harder. Can you back out the implied probability of default from the data on credit default swaps? The rate of return on the deal?
5. What role, if any does the CDS market play? Should countries like India develop CDS markets?

York Capital

1. A CLO invests in leveraged loans rated about "B" with all CLO collateral is non-investment grade. What enables a CLO to fund 60% of its funding through AAA rated notes?
2. Evaluate WorldStrides' and the hedge fund's proposal from Rizwan Akhter's perspective: What are the CLO's goals in this restructuring? What are its pluses and minuses?
3. What solution would you recommend to Rizwan Akhter?
4. What do you think are the management objectives in this scenario? What concerns would you have if you were the CEO or CFO of WorldStrides at the time?

5. What is – and should be – the role of CLOs in India? What are legal and institutional obstacles, if any, to CLOs in India?

MCI Communications Corporation, 1983

1. Review MCI's past financing strategies and current financial condition.
2. Perform a competitive analysis of MCI.
3. Review MCI's projected financial needs.
4. Select MCI's target capital structure.
5. What should MCI do now?
6. What kind of companies should issue convertible debt? Why?
7. What is your assessment of this instrument in the Indian context?

American Barrick Resources Corporation: Managing Gold Price Risk

1. Analyze the economics of the gold mining industry. What creates sustainable competitive advantage in this industry?
2. What, in your opinion, is the source of ABX's success? Provide some back-of-envelope calculations to back up your analysis.
3. How sensitive are ABX's earnings to gold prices?
4. Why should a gold company (not) manage its output prices?
5. Describe how each of the instruments used by ABX help the company manage its gold price exposure.
6. What should ABX do, considering its Meikle Mine finding?
7. Explain what happened ex-post in ABX to the derivatives positions
8. Assess the gold market in 2025-2026 and discuss implications for the case.

Silicon Valley Bank: Gone in 36 hours

1. What are the risk management challenges for banks? How are they different from those for corporations?
2. One view of why risk management failed is that success bred complacency. Another is that SVB deliberately did *not* want to hedge risk. That is, risk-taking rather than risk-management was in shareholders' best interests. Agree? Why or why not?
3. What is your assessment of the role of accounting in risk management? Did accounting make SVB more transparent or allow it to obfuscate? How do accounting, corporate governance, and finance interact?
4. Who fell asleep at the wheel? Lenders? Depositors? Rating agencies?
5. What type of corporate finance did SVB facilitate? Do its customers care if it collapsed? In other words, what special capital did SVB have and is lost by its demise? Does its takeover by another bank mitigate its losses?
6. Given all your analysis, what is the role of banks and other intermediaries in corporate finance in the 21st century?

7. What should corporations do in case their banks face a run or fail? Proactively? Reactively?
8. Assess the role of social media in financing.

Irongate (Private Equity)

1. Work through the limited partnership agreement. What do the LPs get, what does the GP get, and in what order? Compute the distribution waterfall on the case numbers.
2. Read the term sheet from the target's side. Which terms protect the buyer, and which ones would you push back on as a seller?
3. Value the buyout. Decompose the expected return into leverage, multiple expansion and operating improvement. Which part is skill?
4. Compare a control buyout with the growth-equity minority stakes that dominate Indian private equity. If there is no acquisition leverage and the promoter keeps control, where does the return have to come from?

Harley-Davidson: Reverse Yankee Bond

1. Why would a US company borrow in euros? Separate the reasons that reflect a real cost saving from those that reflect a currency view.
2. Price the euro issue swapped back into dollars. Is the all-in dollar cost lower than a direct dollar issue? Show the computation.
3. What risks remain after the swap? Who is Harley's counterparty and what happens if it fails?
4. Indian firms borrow abroad through external commercial borrowings and masala bonds, under RBI hedging rules. Compare an Indian dollar borrower with Harley as a euro borrower: which one is closer to a hedged position and why?

Private Credit (Readings TBD)

1. Why did the U.S. private credit market develop?
2. What is its size today?
3. What are the lending structures in private credit?
4. What are the interlocking structures in private and bank credit?
5. What is the parallel between the private credit woes in 2026 and the 2008 GFC/
6. What policies, if any, should India adopt with regard to private credit?

AI Exercises

There are multiple AI exercises in the course. Every exercise has similar structure: first do what you can by hand; second, pose questions to an AI model; third, refine what the AI suggests. You will submit the prompts used and responses, and then what you changed and why. We will have two types of exercises. In one, you will assess ex-post outcomes after a case's horizon. In the other, you will ask what part of the analytic thinking and logic carries through to India and explain why. It is also fine to find instances where the Indian market experience offers new lessons. The prompts used to query AI will be submitted in an Appendix and the main write up should have your material.

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The goal is not to get the "right answer." Rather, the aim is to see how AI is useful or not in assessing a financing problem. The write-up should follow the format rules above.

AI Exercise 1 (Session 1, India). Platforms and VCs in India.

AI Exercise 2 (Session 2, India). Underpricing and the Indian allocation rules.

AI Exercise 3 (Session 3). Disclosure and valuation: SpaceX and an Indian DRHP.

AI Exercise 4 (Session 4, India). The Indian MSME loan.

AI Exercise 5 (Session 5, India). Microfinance securitization.

AI Exercise 6 (Session 6, India). MCI's convertible and the Indian CCPS.

AI Exercise 7 (Session 7, ex-post). Barrick's hedge book in today's gold market.

AI Exercise 8 (Session 8, India). SVB versus Yes Bank.

AI Exercise 9 (Session 9, India). Irongate in India.

AI Exercise 10 (Session 10, ex-post and India). Was it a cost saving or a currency bet?

Attendance Policy:

Learning is an interactive process. The in-class discussions are central to learning and attendance is expected in all sessions. Attendance during class sessions will be recorded and will form part of your individual participation grade.

Very light quizzes will be given in virtually every class. They will take up perhaps 5-10 minutes and will typically seek opinions in multiple choice format. There is usually no preferred answer; the questions are polls to gauge student opinions and record attendance (and maybe attentiveness).